19TH ANNUAL WORKSHOP

Australia New Zealand Workshop in Experimental Economics

ANZWEE 2026 · Book of Abstracts

Monday 16 & Tuesday 17 November 2026
Otago Business School, University of Otago, Dunedin
35 papers · 14 sessions · 2 keynotes

University of Otago
ŌTĀKOU WHAKAIHU WAKA
Te Kura Pakihi
Otago Business School

Sessions

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Monday 16 November

OBS 1.19 **Charitable Giving**

Mon 09:15–10:15 · Sessions I · Chair: Maroš Servátka

Do Very Short Deadlines Increase Donations to Charity?

Stephen Knowles University of Otago
with Andrea Clarke, Jeff Foote and Ronald Peeters

Charities sometimes advertise that all donations made that day will qualify for a matching donation. Although there is an existing literature using laboratory and field experiments to test the effect of deadline lengths on donations, there are no existing studies analysing the effect of a deadline as short as a day. In theory a very short deadline could either increase or decrease donations. A very short deadline could increase donations by reducing procrastination but it could reduce donations as people may not have time to donate that day, and may not even read the email. Therefore, the effect of a very short deadline on donations is an empirical question.

We partnered with a New Zealand charity to test the effect of a one-day deadline to qualify for a match. The charity sent emails to their current supporters about the match saying the first $50 of any donation would be matched. Varied across treatments was the length of the deadline (one day, one week or no deadline) and the size of the match (either dollar-for-dollar or 25 cents per dollar). The size of the match had no statistically significant effect on donations. Donations were lowest for the one-day deadline and highest when there was no deadline. Also of interest is that although only the first $50 donated qualified for the match, many people donated more (some a lot more) than $50.

KEYWORDS charitable giving, deadlines, matching subsidy

Overhead Aversion, Overhead-Free Appeals, and Complementary Information: Theory and Experimental Evidence

Shusaku Sasaki The University of Osaka
with Hidetoki Nakayama, the University of Osaka; Maja Adena, WZB Berlin Social Science Center

Donors resist having part of their gift spent on overhead--the staff, accounting and fundraising costs behind a charity's program--a pattern known as overhead aversion. Two interventions address it on different margins: overhead-free (OHF) appeals, under which a third party covers the overhead so the donor's money funds programs alone, lower the price of giving, while educational information about why overhead is necessary targets the aversion. We model overhead aversion as a belief parameter θ discounting a gift's perceived social impact, and derive four predictions: aversion lowers charity receipts (P1), including under OHF (P2); the OHF effect is smaller for more averse donors (P3); and OHF and information are complements (P4). We test these in a pre-registered 2×2 online experiment in Japan (N = 12,008), with real gifts to UNICEF Japan from a 1,000 JPY endowment, overhead fixed and disclosed at 25%, and θ elicited a week earlier with a multiple price list. P1 and P2 hold: more averse donors give less, and still do once a third party covers the overhead. OHF is powerful, raising charity receipts by about 40% over the control group. Information alone adds little, even though it did shift how donors judged the charity's overhead. P3 and P4 fail. The price cut does not lose its bite among the more averse donors, and pairing it with information delivers no more than the two interventions do apart. Both predictions turn on one assumptio--that donors who see their gift as doing more good respond more strongly when its price falls--and the data do not bear it out. Complementarity appears only in an exploratory subgroup reporting altruistic motives.

KEYWORDS charitable giving; price of giving; belief updating; heterogeneous treatment effects; pre-registered experiment

Coordination in altruistic markets with imperfect substitutes

Maroš Servátka Macquarie Business School
with Matej Lorko (University of Economics in Bratislava), Tomáš Malinovský (University of Economics in Bratislava), Robert Slonim (UTS)

We study how decentralized altruistic choice generates inefficiencies in markets with imperfectly substitutable goods. In a laboratory experiment, subjects choose between providing an altruistic good with a relatively high recipient benefit but limited demand, providing an alternative altruistic good with a lower benefit and unlimited demand, or not helping. Across treatments, we vary the recipient benefit of the alternative good. Consistent with theoretical predictions, the preferred good is oversupplied when the recipient benefit of the alternative good is lower than the donation cost, but undersupplied when the alternative good generates sufficient recipient benefit. These patterns predictably emerge from donors' trade-offs between recipient impact and the risk that contributions will be wasted, generating substantial welfare losses despite ample aggregate willingness to help. A simple coordination device that informs donors when demand for the preferred good is saturated and redirects excess contributions to the alternative good significantly improves market efficiency, reducing both over- and undersupply.

KEYWORDS altruism, charitable giving, restricted demand, volunteering, coordination, warm glow

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OBS G.19 **Belief Updating**

Mon 09:15–10:15 · Sessions I · Chair: Wanying (Kate) Huang

Overinference and Underinference from Aggregating Multiple Signals

Shenao Dong Monash University
with Scott Dickinson (LSE); Lata Gangadharan (Monash University); Erte Xiao (Monash University)

Previous research has shown that individuals systematically underinfer from strong signals and overinfer from weak signals. Less is known about how individuals aggregate information across signals of varying strength. We study this question using a variation of the balls-and-urns task in which participants observe two sequential signals whose strength and order we experimentally manipulate. We find that the order in which signals arrive matters: final beliefs differ when a strong signal precedes a weak one rather than the reverse. This pattern is inconsistent with Bayesian updating and with cognitive imprecision alone, both of which imply that order is irrelevant. We propose that individuals perceive each signal in contrast with the one preceding it. Consistent with this hypothesis, a strong first signal suppresses the perceived strength of a confirmatory second signal, often strongly enough to reverse the direction of updating, and amplifies a disconfirmatory one. A non-diagnostic second signal also moves beliefs, in the direction opposite the first signal, by an amount that increases with the strength of the first signal. Adding this single mechanism to cognitive imprecision accounts for all three patterns.

KEYWORDS Belief Updating, Cognitive Imprecision, Contrast Effects

The Role of Uncertainty about Future Losses in Wishful Thinking

Yuet Lyu Monash University
with Keaton Ellis (Monash University), Lata Gangadharan (Monash University), Abhijit Ramalingam (Appalachian State University)

We investigate how uncertainty about anticipated losses shapes wishful thinking. Recent research (e.g., Engelmann et al., 2024) suggests that anticipated losses, rather than equivalent gains, give rise to wishful thinking, implying that losses are a necessary condition for the bias to emerge. We build on this literature by reproducing the online monetary-loss environment in which participants classify briefly displayed patterns, with one pattern associated with a positive probability of monetary loss. To isolate the role of uncertainty from that of losses themselves, we vary the information participants receive about their future losses. We begin with a baseline treatment in which participants know the probability of incurring a loss on each loss-risk trial but remain uncertain about the total number of losses they will experience. We then progressively resolve this uncertainty, first by revealing the exact number of future losses while leaving their timing unknown and subsequently by revealing the specific trials on which losses will occur. We hypothesize that wishful thinking is driven not only by the prospect of losses but also by uncertainty surrounding those losses. As uncertainty is reduced, the scope for this motivation underlying wishful thinking should narrow, leading judgments to become less biased. Consistent with this prediction, we find preliminary evidence that wishful thinking diminishes when participants learn the total number of losses they will incur and declines further once the remaining losses are fully identified. These findings suggest that anticipated losses are necessary but not sufficient for wishful thinking to arise; losses provide the underlying motivation for wishful thinking, whereas unresolved uncertainty allows this motivation to distort judgments.

KEYWORDS Wishful thinking, Uncertainty, Monetary losses, Online experiment

Belief Uncertainty

Wanying (Kate) Huang Monash University
with Marina Agranov (Caltech)

We experimentally study whether individuals form the precise beliefs implied by the frequentist interpretation of probability. Despite being given a fully specified data-generating process involving one million independent draws, about half of reported beliefs are unsure, assigning probability to multiple intervals. Reported beliefs remain centered around the underlying probability but are far more dispersed than the law of large numbers predicts. This uncertainty is systematic, persistent across questions, and responds to information but is not eliminated by it. Moreover, information affects subjects with sure and unsure initial beliefs differently. Greater belief uncertainty also predicts a lower willingness to take risks. Our findings suggest that eliciting belief uncertainty, rather than only point beliefs, reveals systematic features of belief formation that are missed by standard elicitation methods. In particular, doing so allows us to distinguish between two sources of belief uncertainty: uncertainty already present in initial beliefs and uncertainty generated by the arrival of new information, both of which shape updated beliefs.

KEYWORDS Belief updating, uncertainty, risk and ambiguity

OBS 1.19 **Social Norms & Motives**

Mon 10:45–11:45 · Sessions II · Chair: Robert Hoffmann

The arranged marriage norm and the norms governing its enforcement

Uzma Afzal RMIT University
with Abigail Barr, University of Nottingham

Arranged marriage remains a prevalent institution in many parts of South Asia, yet little is known about the social norms that sustain it or how communities enforce compliance. This study examines the arranged marriage norm and its enforcement in rural Punjab using incentivized elicitation methods (Krupka & Weber, 2013) across 15 villages. We measure perceived social appropriateness of love matches versus arranged marriages, as well as of family and neighbor responses to couples who pursue love matches—ranging from full support to withdrawal of support to conditional support paired with reminders of how the marriage came about. Consistent with prior work (Afzal, Barr & Nosenzo, 2025), we find robust evidence of a strong social norm prescribing arranged marriage over love matches. However, we document a marked divergence between this perceived norm and individuals' personal beliefs: participants' private opinions are considerably more open-minded toward love matches than what they believe the community endorses as appropriate. This gap between personal attitudes and perceived norms suggests that the arranged marriage norm may be sustained in part by pluralistic ignorance, with implications for how such norms might be shifted or eroded over time. We further examine how enforcement of the norm—through family and neighbor responses such as avoidance, limited engagement, and gossip—is perceived, and how these dynamics vary by respondent sex and community remoteness.

KEYWORDS Social norms, lab-in-the-field, arranged marriages

Why People Give: Developing a Scale of Charitable Giving Motives

Robert Hoffmann University of Tasmania
with Swee-Hoon Chuah, Simon Feeny, Ananta Neelim

Research on charitable giving identifies numerous motives for donating, but their underlying structure and measurement remain unsettled. We develop a multidimensional scale of charitable giving motives, distinguishing motives from situational influences, constraints and other individual differences that affect giving. Five candidate motives are identified: altruism, moral identity, conformity, status and power. Candidate items were developed systematically across different dimensions of each motive and refined through expert content validation and cognitive interviews assessing construct fit, clarity and interpretation. We then collected data from a representative sample of the US adult resident population, using independent subsamples for exploratory and confirmatory factor analysis. The resulting scale provides a framework for measuring and comparing distinct motives for charitable giving.

KEYWORDS Charitable giving; Motivation; Scale development; Altruism; Social preferences

OBS G.19 **Complexity & Choice Quality**

Mon 10:45–11:45 · Sessions II · Chair: Michelle Lee

How Labels Obfuscate Information and Distort Choices

Changfa Fu The University of Melbourne

with Nitin Yadav, The University of Melbourne; Carsten Murawski, The University of Melbourne; Michele Garagnani, The University of Melbourne

Labels aggregate product attributes into easily interpretable indicators. While they can facilitate choices, labels can also be misleading by obfuscating information and distorting inference about the overall value of alternatives. We study how the presence of labels and their characteristics causally affect choice quality using a set of laboratory experiments (N = 200, eye-tracking N = 39). Choice quality worsens when truthful but potentially obfuscating labels are present, compared to a situation in which labels are present or labels are not obfuscating. Eye-tracking reveals a strong reliance on labels and limited learning even when participants are informed about potential obfuscation. These findings indicate that even truthful labels can degrade decision quality in complex environments even when all relevant information is available and choices are repeated. Behavioural and non-choice data suggest that participants uncritically treat labels as proxies for overall value. These results highlight limitations in humans' ability to discern what is the best alternative under information load and underscore the importance of regulating label design to protect consumers.

KEYWORDS Bounded Rationality, Eyetracking, Multi-attribute Decision-Making, Obfuscation

How Discounts Impact Choice Quality: The Role of Complexity and Salience

Ziyan Xu Zhejiang University

with Changfa Fu (University of Melbourne), Nitin Yadav (University of Melbourne) and Fadong Chen (Zhejiang University) and Michele Garagnani (University of Melbourne)

Discounts are a key feature of retail pricing strategy, yet their effects on choice quality remain poorly understood. This work provides causal evidence that discounts systematically distort purchasing decisions by reshaping which products consumers consider. Using a controlled laboratory experiment ($N = 104$) built around a combinatorial shopping task with an objective correct answer, we isolate two mechanisms through which discounts operate: attentional salience and computational load. We show that when discounted items align with a consumer's preference, discount availability improves decision quality. In all other cases, however, discounts redirect attention toward suboptimal products, decreasing choice accuracy. Discount also often require participants to calculate final prices, rather than having them displayed, which further reduces decision quality, though this effect is less robust. Together, our findings suggest that discounts function primarily as attention-directing devices and directly affect choice quality. These results have important implications for how retailers can better design discount policies and how consumers can be supported in making better purchasing decisions.

KEYWORDS consumer behavior, discount, experiment, salience, complexity

Complexity Undermines Resource Allocation

Michelle Lee Centre for Brain, Mind and Markets, University of Melbourne
with Carsten Murawski (Centre for Brain, Mind and Markets, University of Melbourne), Nitin Yadav (Centre for Brain, Mind and Markets, University of Melbourne), and Michele Garagnani (Centre for Brain, Mind and Markets, University of Melbourne)

This paper studies whether decision makers can infer the complexity of a task before undertaking it. Complexity is defined as the resources required for successful completion, with cognitive effort playing a central role. Errors in this inference can distort both effort allocation and task valuation, leading to inefficient resource allocation. In a real-effort experiment, participants observe puzzles before deciding how much they value solving them for a reward. We vary whether task complexity can be inferred from observable task attributes. When complexity is easy to infer, beliefs, intended effort, and subjective task values track objective complexity, with harder tasks perceived as more difficult, more effortful, and less valuable. However, when complexity is harder to infer, as in many everyday situations, these responses are attenuated or even reversed: objectively harder tasks are perceived as easier, less effortful, and more valuable. We show that complexity inference is a distinct, fundamental source of allocation failure. Inefficient allocation can arise even when the task environment is fully specified, incentives are known, and valuations are incentive compatible because decision makers fail to correctly infer the resources required before deciding whether to undertake the task.

KEYWORDS effort, complexity, resource allocation, reward uncertainty, experiment

MONDAY 13:30–14:30 · PLENARY

Keynote I — Arthur Robson (Simon Fraser University) · Archway 2

"Evolution of Time Preference in Hunter Gatherer Societies"

OBS 1.19 **Gender & Careers**

Mon 15:15–16:15 · Sessions III · Chair: Maria Recalde

Gender differences in delegating wage negotiation

Yee Wah Lisa Chan University of Sydney

with Deborah Cobb-Clark (University of Sydney) and Juliana Silva Goncalves (University of Sydney)

One reason for the persistent gender pay gap is women negotiate less often than men, ask for less when they do negotiate, and face greater resistance from employers. We investigate a novel institutional feature: giving workers the option to delegate wage negotiation to another person. While delegation may improve outcomes through a better-informed agent, it also requires relinquishing decision rights over important outcomes. We examine how individuals trade off intrinsic preferences for retaining control against the instrumental value of delegation, and whether they differ by gender.

We design an online experiment that separates intrinsic preferences for agency from the instrumental value of delegation. Workers first complete real-effort tasks and negotiate bonuses with Managers, without feedback. They then decide whether to retain their recorded negotiation decisions or delegate negotiation to another Worker (Agent) who previously negotiated for themselves.

The experiment exploits within-subject variation in instrumental value via three treatment conditions: (i) a zero-instrumental-value condition, in which delegation cannot improve expected outcomes because the Agent is a peer who has made the same negotiation decisions under the same conditions as the Worker; (ii) a positive but low instrumental-value condition; and (iii) a positive but high instrumental-value condition. In the positive-instrumental-value conditions, the Agent possesses an informational advantage, while the probability that managerial decisions determine outcomes varies. Across all conditions, we elicit workers' willingness-to-pay to retain agency (WTP). This allows us to examine how WTP for agency responds to increases in the instrumental value of delegation and whether these responses differ between men and women.

The study contributes to the literatures on gender inequality, negotiation and delegation by introducing delegation as a novel feature of wage negotiation. More broadly, it extends the behavioural economics literature on preferences for agency by examining delegation decisions in a strategic setting where delegation may improve outcomes.

KEYWORDS gender differences, wage negotiation, delegation, preference for agency, online experiment

Gender Gaps in Persistence: Real or Perceived?

Emily Tran University of Melbourne

with Nisvan Erkal - University of Melbourne; Lata Gangadharan - Monash University

This paper investigates misperceptions about men's and women's persistence following positive and negative feedback in stereotypically male- and female-typed tasks. Persistence — the willingness to continue or reinvest effort after success or failure — is central to educational and professional success, making misperceptions about persistence an important potential source of gender inequality. In an incentivized laboratory experiment, we study beliefs about gender differences in persistence conditional on feedback, eliciting both individuals' own beliefs (first-order beliefs) and their beliefs about what others believe (second-order beliefs) in two gender-stereotypical tasks: emotion recognition (female-typed) and math (male-typed). We find no gender differences in persistence, yet misperceptions are prevalent. In first-order beliefs, misperceptions are not aligned with gender-task stereotypes but reflect a symmetric pattern of gender-based in-group bias: both men and women tend to overly favor their own gender, independent of task type. These misperceptions extend to second-order beliefs and move in the same direction as first-order beliefs, which is consistent with a consensus effect. Overall, our results show that misperceptions about gender gaps are pervasive, highlighting the importance of addressing both individual and social layers of belief distortion in gender-stereotypical settings.

KEYWORDS Beliefs about gender differences, persistence, misperceptions, lab experiment

Misattribution: How Work Assignments Affect Evaluation and Advancement

Maria Recalde University of Melbourne
with Marissa Lepper (Texas A&M), Lise Vesterlund (U of Pittsburgh)

This paper uses controlled experiments to examine how work assignments shape performance evaluations and subsequent assignments. Workers are randomly assigned to tasks that differ in productivity, after which evaluators observe their output and pay, assess performance, and make assignment decisions. Workers assigned to more productive tasks produce and earn more. Evaluators misattribute these differences to worker ability rather than task productivity, favoring initially advantaged workers in evaluations and subsequent assignments. More detailed performance information modestly improves assignment decisions but does not eliminate misattribution, allowing initial assignments to shape advancement opportunities and perpetuate organizational inequality.

KEYWORDS Non-promotable tasks, path dependency, performance evaluations, beliefs, promotion

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OBS G.19 **Bounded Rationality & Imprecision**

Mon 15:15–16:15 · Sessions III · Chair: David Butler

Breaking down Bandits: An experimental decomposition of bandits and other information

Daniel Woods Macquarie University
with Stanton Hudja - Illinois Institute of Technology

Human behavior in the one-armed bandit is typically characterized by 'under-experimentation', a lower number of pulls than optimal on an unknown arm before giving up on it. This implies that people acquire less information than optimal, which is in stark contrast to human behavior in many other information acquisition tasks, where people often acquire too much information even if it is non-instrumental. I seek to isolate the cause of this discrepancy through a thorough experimental decomposition stepping between two decision environments with only one change at a time.

KEYWORDS bandit, information acquisition, exploration

Should I State or Should I Show? Aligning AI with Human Preferences

Keaton Ellis Monash University
with Wanying (Kate) Huang

As AI agents become more autonomous, properly aligning their objectives with human preferences becomes increasingly important. We study how effectively an AI agent learns a human principal's preference in choice under risk via stated versus revealed preferences. We conduct an online experiment in which subjects state their preferences through written instructions ("prompts") and reveal them through choices in a series of binary lottery questions ("data"). We find that on average, an AI agent given revealed-preference data predicts subjects' choices more accurately than an AI agent given stated-preference prompts. Further analysis suggests that the gap is driven by subjects' difficulty in translating their own preferences into written instructions. When given a choice between which information source to give to an AI agent, a large portion of subjects fail to select the more informative one. Moreover, when predictions from the two sources conflict, we find that the AI agent aligns more frequently with the prompt, despite its lower accuracy. Overall, these results highlight the revealed preference approach as a powerful mechanism for communicating human preferences to AI agents, but its success depends on careful implementation.

KEYWORDS stated preference, revealed preference, specification hazard, AI agents, choice under risk

Imprecise preferences and beliefs in simple games

David Butler Griffith University
with Andrea Isoni, Warwick Business School; Graham Loomes, Warwick Business School; Daniel Navarro-Martinez, Universitat Pompeu Fabra

The individual decision making literature shows extensive evidence that preferences can be imprecise. We study this imprecision in preferences and beliefs of players of simple simultaneous games. The vast majority of players report such imprecision in both their preferences and beliefs. We find preferences are more imprecise when choices are more variable and beliefs are more imprecise when they are less extreme. The likelihood a player chooses a best response to their stated beliefs is greater for less imprecise preferences and beliefs.

KEYWORDS Preference imprecision, belief imprecision, experimental games, best response

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OBS 1.19 **Teams, Public Goods & Cooperation**

Mon 16:30–17:10 · Sessions IV · Chair: Bhagya Gunawardena

Competitive Bonuses and Public Good Production

Yichen Guo RMIT University
with Dmitry Ryvkin (RMIT University), Qin Wu (RMIT University), Jingjing Zhang (The University of Sydney)

We consider agents working in a team setting and facing two types of tasks: a competitive task that serves each agent's personal interests, such as competing for promotion or a bonus; and a cooperative task that serves the interests of the team as a whole, providing a threshold public good. In a lab experiment, agents allocate resources to the two tasks under varying incentive schemes. Competitive effort increases with the competitive bonus up to an intermediate level, beyond which further increases fail to generate additional effort and instead crowd out public good provision. Unlike the typical overbidding documented in contest experiments, bidding behaviour largely aligns with theoretical benchmarks, with deviations emerging only at the highest incentive level. To examine whether the flattening of competitive effort is driven by spillovers from the cooperative environment, we implement a follow-up experiment run in parallel as a counterfactual that any spillover from public good is isolated. Assuming both types of effort are important for the organisation, we provide empirical evidence on the optimal mixture of competitive and cooperative incentives depending on the organisational goals.

KEYWORDS Contest, Public good, Bonus

Learning from Peers: The Impact of Ability-Based Grouping and Incentives

Bhagya Gunawardena RMIT University
with Lana Friesen

This study examines how ability grouping and incentive structures affect peer learning and knowledge sharing. Using a controlled experiment with a series of unfamiliar logical puzzles, we investigate the effects of different ability pairings among high-, medium-, and low-ability participants on learning outcomes, and the role of incentives in promoting peer-to-peer learning and teaching. The findings support mixed-ability grouping: high-ability participants learn more when paired with medium- or low-ability partners relative to high-ability partners, whereas medium- and low-ability participants are largely unaffected by their partner's ability. These gains for high-ability participants are primarily observed under individual performance-based incentives. The findings suggest that for high-ability participants, teaching peers reinforce learning more than interacting with equally high-ability partners. Although group incentives increase the likelihood of effective communication, particularly when participants are paired with lower-ability partners, they do not improve learning outcomes. The results provide evidence on how ability grouping and incentives can be designed to improve human capital development through peer interactions, with implications for education policy and classroom design.

KEYWORDS Lab experiment, peer-learning, ability grouping

OBS G.19 **Risk & Gambling**

Mon 16:30–17:10 · Sessions IV · Chair: Ralph-C Bayer

Reframing losses disguised as wins in electronic gambling machines

Stephen Cheung The University of Sydney
with Preya Chugh, The University of Sydney; Pablo Guillen, The University of Sydney

Losses disguised as wins (LDWs) are outcomes in multiline gambling machines where the payout is smaller than the wager but is accompanied by positive reinforcement. Despite representing a net monetary loss, LDWs are often perceived as rewarding and have been linked to persistent gambling behaviour. The present study examined whether framing LDWs as losses rather than wins influences gambling behaviour and subjective experiences during play. One hundred participants were randomly assigned to either a conventional-win or a net-loss frame condition and played a simulated slot machine that replicated the mathematical structure and key visual features of commercial electronic gambling machines. Behavioural responses as well as subjective evaluations and experiences were recorded. Framing LDWs as losses did not significantly affect wagering behaviour, gambling persistence, win-rate estimates, or most dimensions of subjective gaming experience. Participants continued to overestimate the frequency of true wins, and this bias was not reduced by loss framing. Cumulative exposure to both true wins and LDWs increased wagering across the session, while immediate betting decisions were influenced primarily by larger wins. The findings suggest that LDWs remain behaviourally reinforcing even when their true economic value is made explicit.

KEYWORDS Losses disguised as wins; electronic gambling machines, framing intervention

Do People Gamble More if They Can Cash-out? Theory and Evidence from a Laboratory Experiment

Ralph-C Bayer Adelaide University
with Rubayat Sarwar

This paper studies how the availability of cash-out opportunities influences betting decisions under fair odds. We conduct a controlled laboratory experiment in which participants make repeated betting decisions in treatments with and without cash-out options. In the cash-out treatments, the cash-out payment is priced at the expected value of continuing the bet. Under standard Expected Utility Theory, optimal betting stakes should therefore be identical across treatments. Contrary to this benchmark, we find that participants place significantly higher stakes when cash-out options are available. We rationalize this deviation by applying alternative decision theory. Under rank-dependent utility theory, the cash-out option introduces a complex decision problem which can explain some of the observed behaviour. Moreover, rank-dependent utility introduces a time-inconsistency which might lead to larger bets based on the expectation to cash-out later if things go well. However, when arriving at that state cashing-out might not be optimal anymore

KEYWORDS Sports Betting, Rank Dependent Utility Theory, Risk Preferences

Tuesday 17 November

OBS 1.19 **Matching & Market Design**

Tue 09:35–10:15 · Sessions V · Chair: Siqi Pan

When Words Move Rankings: Strategic Messaging in Matching Markets

Gloria Yifan Chen The University of Melbourne
with Siqi Pan (The University of Melbourne)

Centralized matching markets rely on candidate-proposing deferred acceptance to guarantee strategy-proofness and candidate-optimal outcomes. This paper studies whether pre-match messaging by firms undermines these guarantees. We build a model incorporating ego-utility, reciprocity, rejection aversion, and rank-dependent preferences, and test its predictions in a laboratory experiment with committed, uncommitted, and random-message treatments. Firms direct messages strategically, candidates respond by mis-reporting their rank-order lists in favor of the messaging firm, and market outcomes shift toward firm-optimal stable matchings. Pre-match communication is an accessible, low-risk manipulation that exploits behavioral biases strategy-proof mechanisms were not designed to withstand.

KEYWORDS Matching, Behavioural economics, lab-experiment, Strategic interaction

Matching by Characteristics

Siqi Pan University of Melbourne
with Georgy Artemov, Ivan Balbuzanov

Much of the matching literature has focused on algorithms that incentivize participants to submit complete rank-order lists of all acceptable options—often numbering in the hundreds—and relies on these exhaustive submissions to produce efficient and fair allocations. However, the practical implementation of such theoretically desirable mechanisms faces significant challenges. Forming preferences over a large number of options is costly and cognitively demanding, requiring extensive information acquisition. Moreover, ranking all acceptable options can be overwhelming, leading to suboptimal decision-making and exacerbating existing inequalities. We propose an alternative approach that elicits preferences over characteristics rather than over individual objects, thereby reducing the complexity of both preference formation and preference expression. Our study asks: given a fixed matching mechanism, which elicitation method—traditional object-based ranking or characteristics-based elicitation—yields better outcomes? We examine this question through a controlled laboratory experiment framed as an object-allocation problem, in which participants receive objects with varying characteristics based on their submitted preferences. Our results show that characteristics-based elicitation generates higher welfare and is preferred by participants, underscoring its potential as a practical and scalable solution for implementing matching in real-world settings.

KEYWORDS Matching markets, Market design, Complexity

OBS G.19 **Information & Expertise in Markets**

Tue 09:35–10:15 · Sessions V · Chair: Jiachen He

Reduction of Information Asymmetry and the Impact of Multiple Experts: A Credence Goods Experiment

Adithya Krishna Macquarie University

Credence goods or expert service markets are characterised by information asymmetry, as customers cannot fully evaluate the quality of services even after consumption, despite the service being worthwhile. This asymmetry creates incentives for inefficient transactions, as experts can engage in undertreatment, overtreatment, and overcharging. This paper develops theory and presents a laboratory experiment examining two mechanisms for improving market efficiency: (1) reducing information asymmetry by providing customers with probabilistic information about their problem and (2) increasing competition by allowing customers to choose between multiple experts. Preliminary results indicate that both interventions significantly improve market efficiency while their combined effect does not produce additional efficiency gains. Neither intervention significantly reduces mistreatment by experts, suggesting that efficiency gains are primarily driven by improved quality of customer decisions.

KEYWORDS Lab experiment, information asymmetry, credence goods

When Verification Crowds Out Disclosure: Information Acquisition and Sharing in Markets

Jiachen He Monash University
with Erte Xiao; Chengsi Wang

This paper studies how private information verification affects the diffusion of truthful information in markets. We develop a model in which consumers can incur a cost to verify a product claim and, conditional on learning the truth, decide whether to disclose the verified information to others. Lower verification costs directly increase private information acquisition, but they may also reduce the marginal value of disclosure by shrinking the pool of uninformed consumers who can benefit from shared information. The model therefore predicts that truthful information visibility need not be monotonic in verification costs: making verification easier may crowd out decentralized information sharing and fail to increase the aggregate reach of truth. We propose an experiment that exogenously varies verification costs and the reach of disclosure to test this mechanism. The study speaks to the design of markets and information environments in which individual fact-checking technologies coexist with peer-to-peer information transmission.

KEYWORDS Information acquisition; Information diffusion; Misinformation; Experimental economics

OBS 1.19 **Voting & Polarisation**

Tue 10:45–11:45 · Sessions VI · Chair: Pablo Guillen

The Devil You Know: How Status Quo Bias Can Influence Elections

Marco Faravelli The University of Queensland
with Josh Huisman (UQ), Vera te Velde (UQ)

This paper presents a novel experimental investigation into how status quo bias shapes voter behavior and welfare outcomes in a common-value election setting. Participants first complete a real-effort task under one of two payment plans, in which their experience provides a noisy signal of which plan is welfare-enhancing. They then vote between the two plans in a common-value election that determines payoffs in a subsequent repetition of the task. We find clear and robust evidence of status quo bias, even in this context that rules out transition and uncertainty costs and endowment and default effects as psychological drivers. Because prior empirical work suggests that status quo voting may be associated with negative emotions, we also employ emotion-induction treatments to test whether affective states modulate the strength of the bias. The results show no interaction between emotional state and the magnitude of the status quo effect. These findings illustrate that status quo bias is a powerful force that can either stabilize efficient policies or entrench harmful ones, depending on the underlying policy environment.

KEYWORDS voting, social preferences, status quo bias, emotion, information acquisition

Communication Bubbles in a Polarized Social Dilemma

Pablo Guillen The University of Sydney
with Cindy Estifenes, Todd Cherry, Abhijit Ramalingam

We study how communication structure affects behavior in a polarized social dilemma. In a laboratory experiment, groups contain members who benefit from a public good and members who are harmed by it, with parameters chosen so that the Nash equilibrium and social optimum coincide at mutual restraint. We compare three communication structures: no communication, communication only within interest groups, and communication across all group members. Full communication produces the highest efficiency and substantially reduces costly contributions and deductions. Segmented communication yields intermediate average efficiency but substantially greater variation in outcomes. Some sessions coordinate on restraint and approach the efficient outcome, whereas others coordinate on escalation and perform worse than the no-communication baseline. Chat analysis supports this interpretation: high-efficiency sessions contain more restraint-oriented communication, while low-efficiency sessions exhibit more aggressive coordination. The results suggest that communication structure shapes both the level and stability of coordination in environments with opposing interests.

KEYWORDS polarization; coordination; communication

OBS G.19 **Behavioural Interventions in the Field**

Tue 10:45–11:45 · Sessions VI · Chair: Huan Wang

Managing Screen Time: Feedback and (Soft-)Commitment

Zhongwen Chen Monash University
with Jane Zhang (UNSW), Erte Xiao (Monash), Xiaojian Zhao (Monash)

Managing screen time appears to be a pressing issue in our digital age. Previous studies suggest that sophistication about present bias is associated with commitment take-up. In a field experiment, we provide participants with information feedback about their over- and underestimation of screen time usage, with the aim of improving sophistication. We investigate the causal effect of this feedback on the adoption of popular soft commitment apps designed to control screen time usage. We observe no evidence that feedback influences commitment adoption. Our data suggest that, instead, feedback has a direct effect on screen time usage for individuals with self-control problems who had underestimated their usage. On the other hand, those who overestimated their usage show no compensatory increase.

KEYWORDS self-control, self-awareness, partial naïveté, time preference

Beyond Moving Pictures: The Added Value of Interactivity in Learning Economics

Luthfi Balbeid Monash University

Economics teaching keeps absorbing new technology, and adoption has outpaced evaluation. In surveys of US introductory instructors, presentation software grew from thirteen percent of class time in 2000 to about half by 2020 while time spent lecturing barely moved, and only about one in six studies of technology in undergraduate economics uses a randomised or quasi-experimental design.

An interactive tool lets a student slide a parameter and watch an economic graph respond. A video of the same graph shows the identical movement, but there the system changes the parameter rather than the student. Comparing a tool against no tool at all cannot isolate that difference.

I randomly assigned students in a first-year microeconomics unit to an interactive or a video version of the same modules, released in step with teaching across the semester. Separately and independently, a weekly email either carried a direct link to the tool or did not, and every student kept access either way. The trial is registered as AEA RCT Registry 18224.

The encouragement worked, roughly doubling the share who opened a module from 15 to 30 percent. Marks did not move with it. Because the tool records how long each student spends inside a module, I can show that the sessions were short. The result is therefore about the offer at this level of take-up rather than about interactivity itself.

KEYWORDS field experiment, education technology.

Self protection for children's sake

Huan Wang RMIT University
with Anca Balietti, Hamburg University

Classic economic models of the family assume that parents derive utility from their children‘s welfare. This implies that parents should value health-seeking behaviours not only for their direct benefits to themselves but also for their indirect effects on their children. Yet the adoption of such behaviours remains limited, particularly in the context of mental health. We hypothesise that parents may either underestimate the impact of their mental health on their children or fail to attend to these consequences when making decisions. To test these mechanisms, we conduct an online randomised controlled trial in China. Relative to a control group receiving information only on the effects of stress on oneself, parents who additionally receive information on the effects of stress on children exhibit greater willingness to pay for and greater use of a self-guided stress management exercise.

KEYWORDS Behavioural interventions, Mental health, Online experiment

OBS 1.19 **Markets & Consumers**

Tue 13:15–14:15 · Sessions VII · Chair: Lana Friesen

Understanding New Zealand Consumers' Acceptance and Preferences for No- and Low-Alcohol Wines: Evidence from Survey, Best-Worst Scaling, and Discrete Choice Studies

Barry Wong Eastern Institute of Technology

with Bhushan Adhikari (EIT), Biju Shrestha (EIT), & Zazli Lily Wisker (EIT)

The New Zealand wine industry is facing a range of challenges, including declining wine consumption, demographic shifts associated with an ageing population, and changing consumer preferences. One of the most significant developments in the global alcohol market is the growing trend toward moderation, with consumers reducing their alcohol intake and increasingly choosing alternative beverages, including non-alcoholic, low-alcohol, sweetened, and caffeinated drinks. In response to these changing consumption patterns, the wine industry has begun developing and marketing no- and low-alcohol (NOLO) wine products as a potential strategy to attract new consumers and retain existing ones.

This paper presents findings from three complementary studies that investigate New Zealand consumers' acceptance, preferences, and attitudes towards NOLO wine products. The first study examined consumer purchasing behaviour and preferences using survey data. Multiple linear regression analysis was employed to explore relationships between wine purchasing contexts and consumer preferences for NOLO wines. Results indicate that wine flavour, vintage, brand, and awards are significant attributes influencing purchase decisions across different purchasing environments.

The second study uses Best-Worst Scaling (BWS) to identify the attributes consumers consider most and least important when evaluating NOLO wine products. The third study applies discrete choice analysis to examine the factors influencing NOLO wine selection, including price relative to conventional wines, wine style and variety (e.g., red and white wines), and consumption context (e.g., social drinking occasions at home, restaurant dining, and social occasions outside the home).

Data collection for the second and third studies is currently underway. Findings from these studies will provide insights into consumer decision-making processes and inform producers, marketers, and industry stakeholders seeking to develop and position NOLO wine products within an evolving beverage market. Preliminary findings and ongoing research outcomes will be presented at the workshop.

KEYWORDS Consumer preference, discrete choice analysis, consumer behaviour, wine

An Experimental Comparison of Cap- and Intensity-based Pollution Markets

Lana Friesen University of Queensland

with Ian A. MacKenzie (University of Queensland); Peiyao Shen (University of Basel)

Markets are an increasingly popular regulatory choice to cost effectively control negative externalities. Traditionally, market designs have employed a cap-and-trade format that places an absolute limit on the quantity of emissions. In contrast, many new schemes---including the world's largest in China---limit the aggregate emissions intensity of production. This article theoretically and experimentally compares intensity- and cap-based markets. We design a novel laboratory experiment, where firms choose both output and allowance exchange. Consistent with our theoretical predictions, we find that employing an intensity-based market rather than an equivalent cap-and-trade scheme significantly increases aggregate output, average allowance prices, aggregate abatement, and decreases industry profits. Overall, both markets perform as expected and close to the cost effective allocation of pollution abatement but with lower levels of aggregate profit as high production costs types produce significantly more output than predicted.

KEYWORDS cap-and-trade, pollution market, intensity-based, experiment

OBS G.19 **Attention, Measurement & Methods**

Tue 13:15–14:15 · Sessions VII · Chair: Thomas Pfeiffer

Paying Too Much Attention: Theory and Evidence

Jason Tayawa UNSW
with Hyeonggyun Ko (OSU), Adnan Mahmood (Bates White)

When do choices alone reveal how people attend to information? We study rational inattention in an experiment observing choices, beliefs, and acquired information. We characterize the testable implications of a rationally inattentive agent whose beliefs may be distorted and whose choices carry implementation noise, and show that such an agent can still look rationally inattentive under choice frequencies alone. Attention-cost models inferred from choices may be misspecified, while some cost families identified only up to a bias. Empirically, behavior is monotone in rewards and beliefs, as the theory predicts. Implementation is noisy: choices are optimal given beliefs 94% of the time. Beliefs are distorted: 65% update more conservatively than Bayes, and, as predicted, the more conservative acquire more information. Estimating costs from choices assigns only a quarter of rationally inattentive participants to the correct cost family, and these distortions cost 25% of optimal profits. Choices alone may mismeasure both attention and its costs.

KEYWORDS Rational Inattention, Non-Bayesian Updating, Biased Beliefs, Implementation Noise

Who Likes It More? Using Response Times To Reveal Group Preferences in Surveys

Michele Garagnani University of Melbourne
with Carlos Alós-Ferrer

Surveys are essential to measure societal preferences and uncover differences between socioeconomic or demographic groups. However, both human decisions and survey data are noisy and frequently biased, limiting the reliability of standard analyses. Building upon insights from neuroeconomics and psychology, we provide a non-parametric preference revelation method to improve inference in surveys, panels, and large online experiments. Applications include eliciting social attitudes, support for economic policies, political trends, and consumer research. The method leverages choices and response time distributions to uncover group preferences and unambiguously rank the relative strength of preference between groups of people, defined, e.g., by gender, age cohort, socio-economic status, political orientation, etc. The analysis delivers nonparametric criteria to reveal whether a group prefers an option over its alternative, and whether it does so more than another group, for a general class of behavioral models and without any assumptions on the underlying behavioral noise. That is, preferences are revealed rather than estimated. We validate the techniques and apply them to important socio-economic topics in two representative UK surveys, as well as to data from the American National Election Studies. The results show that the method is an inexpensive, complementary tool to existing approaches, and illustrate when standard analyses are unwarranted and when we can learn more from the data using response times. The analysis also provides a quantification of biases in responses to surveys.

KEYWORDS survey, response time, revealed preferences, social desirability bias

Accuracy of replication forecasts for DARPA's SCORE project

Thomas Pfeiffer NZIAS, Massey University

DARPA's project 'Systematizing Confidence in Open Research and Evidence' (SCORE) aimed to develop scalable methods for assigning confidence scores to published claims in the social and behavioural sciences. Human elicitation and computational methods were used to generate scores for a corpus of 3000 research claims, a subset of which was selected for replication and other forms of empirical evaluation. As one of two teams eliciting human assessments, we used prediction markets and incentivized surveys to generate replication predictions. For high-powered replications, the accuracy of our predictions was in line with earlier replication prediction projects. Replication power in SCORE varied more widely than in earlier large-scale replication projects, and we observed a relation between accuracy and replication power.

KEYWORDS replication, prediction markets, meta-research

TUESDAY 15:00–16:00 · PLENARY

Keynote II — Vera te Velde (University of Queensland) · Archway 2

"Fact-checking in the Presence of Partisan Social Norms"